

to compete,” Alejandro writes, “just as they did with the Wilkinson stainless steel blade. Also, R&D costs coupled with the expenses of Gillette’s continuous product launches (both domestically and worldwide) required a substantial amount of capital.”

It was only when Gillette reversed these trends that its real march to 100-baggerdom began in earnest. The valuation bottomed out too. By the time it became a 100-bagger — from 1964 to the middle of 1995 — the stock’s price-to-earnings ratio was a rich 28. Sales and earnings also grew more rapidly. Sales grew nearly 11 percent annually from 1982 over the next 15 years. Earnings grew even faster, at nearly a 15 percent clip over the same period.

And no doubt, a healthier economic environment contributed to the better performance in the 1980s and 1990s versus the 1970s. Even so, such things are not predictable, and that is why I (and Phelps and others) recommend you don’t bother to try to be an economic forecaster. I’ll have more to say about this in later chapters.

The Gillette case study reinforces several things we’ve learned so far — the importance of growth, for one thing. In this, Gillette was arguably easier to see than Amazon or Comcast. It kept up profit margins and enjoyed lush returns on both equity and assets.

The Gillette case study also shows how valuation makes a big difference over time as the stock moves from a lower multiple of earnings to a higher one.

Having said that, you ought to prefer to pay a healthy price for a fast-growing, high-return business (such as Monster) than a cheap price for a mediocre business. A little math shows why. Peter Lynch ran through an example in his book *One Up on Wall Street*:

All else being equal, a 20 percent grower selling at 20 times earnings (a p/e of 20) is a much better buy than a 10 percent grower selling at 10 times earnings (a p/e of 10). This may sound like an esoteric point, but it’s important to understand what happens to the earnings of the faster growers that propel the stock price.

Here’s the math: